

# SOP\_02\_reg\_e\_dispute\_resolution

**MERIDIAN TRUST BANK**

## **STANDARD OPERATING PROCEDURE — REG E DISPUTE RESOLUTION**

| Field          | Value                                                                  |
|----------------|------------------------------------------------------------------------|
| Document ID    | BNK-SOP-02                                                             |
| Version        | 1.0                                                                    |
| Effective Date | 20/5/2026                                                              |
| Owns Rules     | BNK-REG-RULE-007, BNK-REG-RULE-008, BNK-FIN-RULE-004, BNK-FIN-RULE-005 |

### **1. Purpose**

Standardize intake and provisional credit for customer-reported unauthorized electronic transactions — ATM withdrawals, debit card POS, ACH, online banking transfers — so that every claim receives the customer protections required by Regulation E (12 CFR Part 1005).

### **2. Pre-Conditions**

- 3-of-5 identity verification complete (BNK-CC-RULE-004).
- The disputed item(s) are electronic transactions (NOT a check — those route to SOP-03 / BNK-FRAUD-RULE-003).
- The disputed item is within 60 days of the statement date (Reg E timely-claim window for the most-protective rights).

### **3. Procedure**

#### **Step 1 — Open the Claim (BNK-REG-RULE-008)**

Accept the customer's verbal claim. The customer is NOT required to sign a written claim before provisional credit. The written claim must follow within 10 business days, but no provisional credit determination should be delayed waiting for it.

Capture for each disputed item: - Transaction date - Merchant / counterparty - Amount - Customer's description (lost card, never authorized, recognized merchant but not the amount, etc.) - Card status (in possession, lost, stolen)

#### **Step 2 — Card Containment (if applicable)**

If the customer's card was lost, stolen, or used at a compromised merchant: close the card immediately and order a replacement per BNK-FRAUD-RULE-002. Do this BEFORE the provisional credit decision so the loss is contained.

### **Step 3 — Provisional Credit Decision (BNK-FIN-RULE-004)**

Banker may issue provisional credit at their seat if ALL of the following hold: - 3-of-5 verification complete ✓ - Claim is within 60 days of statement date ✓ - Total provisional credit ≤ \$500 ✓ - Account is not on a Consumer Compliance hold (BNK-FIN-RULE-006)

If any condition fails or amount > \$500: open a Manager Approval ticket; do NOT promise a number to the customer (BNK-FIN-RULE-002 / BNK-FIN-RULE-005).

### **Step 4 — Communicate Timelines (BNK-REG-RULE-007)**

Read verbatim:

“I am issuing a provisional credit of \$X today while we investigate. You will receive a written determination within ten business days. If the investigation requires additional time — for example because the disputed item is at a foreign merchant or on a recently opened account — the timeline may extend to forty-five days, but the provisional credit remains in place during that period.”

### **Step 5 — Open the Reg E Adjudication Ticket**

Route to the Reg E Adjudication team with: - Customer's verbal claim summary - Provisional credit code ADJ-REGE-PROV and amount - Card containment status (closed / replacement ordered) - Statement date(s) of disputed item(s) - 10-business-day determination deadline

### **Step 6 — Closing (BNK-CC-RULE-020, -021, -022, -023)**

- Explain the root cause as known so far (in plain language, no jargon).
- Resolution summary: Issue (unauthorized item(s)) + Fix (provisional credit, card replaced) + Follow-Up Actions (written determination in 10 business days, new card in 3-5 days).
- “Is there anything else I can help you with today?”
- Provide case reference number; offer survey.

## **4. Important Compliance Anchors**

- The banker must NEVER tell the customer the final outcome of the dispute on the call (BNK-FIN-RULE-005). Final determination is the adjudication team's call.
- The banker must NEVER suggest the customer waive Reg E rights or accept a shorter timeline (BNK-REG-RULE-007).
- Provisional credit is reversible if the final determination favors the merchant; the customer must be told this in the written determination, NOT on the call.

## **5. Common Failure Modes (QA Watch List)**

- Promising the dispute will be “fully refunded” before adjudication → BNK-FIN-RULE-005 CRITICAL
- Requiring a written claim before provisional credit → BNK-REG-RULE-008 violation

- Issuing provisional credit above the \$500 cap without Manager Approval → BNK-FIN-RULE-004 violation
- Failing to close the card on a stolen-card claim → BNK-FRAUD-RULE-002 violation
- Quoting a refund timeline from memory instead of the verbatim Reg E script → consumer compliance gap

## **6. Escalation**

- Provisional credit needed > \$500 → Manager Approval ticket (1 BD)
- Suspected first-party fraud (customer trying to dispute legitimate transactions) → Fraud Investigations ticket; do NOT confront the customer
- More than 3 dispute requests in 90 days → Consumer Compliance ticket (BNK-FIN-RULE-006)